3.5.4 Improving cash flow

Unit 3.5 Financial management · 6 key points

- **Methods:** factoring, sale and leaseback, better working capital control, reduce stock, chase debtors, delay paying suppliers
- **Sale and leaseback:** sell an asset and rent it back
- **Reduce receivables:** shorter credit terms or chase late payers
- **Delay payables:** ask suppliers for longer credit
- **Difficulties:** may upset customers or suppliers; factoring reduces profit
- **Trap:** improving cash flow does not always improve profit